

3.2.1 Introduction to the national economy

Students explore how government spending and taxation can influence the level of economic activity. Interest rates will be introduced briefly in order to illustrate the effect on saving, borrowing and spending.

3.2.1.1 Interest rates, saving, borrowing, spending and investment

Content	Additional information
• Interest rates • How interest rates affect consumers' decisions to save, borrow or spend • How interest rates affect producers' decisions to save, borrow or invest	Students should be able to understand: • what is meant by an interest rate • the factors that influence the different rates of interest • how changes in interest rates affect consumers' decisions to save, borrow or spend • how changes in interest rates affect producers' decisions to save, borrow or invest • how to calculate interest on savings.

3.2.1.2 Government income and expenditure

Content	Additional information
• UK government revenue and spending • Indirect and direct taxation • Progressive taxation	Students should be able to understand: • the main sources of UK government revenue • the main areas of UK government spending • the difference between direct and indirect taxation • that some taxes can be progressive and others regressive.